After some argument, the Crusaders decided to cross the desert and relieve Tiberias. The early July sun roasted the Crusader army as it plodded along. The only cistern they came to was guarded by Saladin's men. By the time they met Saladin, on the plain beneath the extinct volcano peaks known as the Horns of Hattin, soldiers and horses alike were nearly incapacitated by heat and thirst. The Battle of Hattin, fought on the morning of July 4, was a rout. Within six hours, says the French account of the battle, the Crusaders were slaughtered; Raymond escaped, but Raynald of Chatillon, King Guy, and the commanding officers of both the Templar and the Hospitaller orders were taken prisoner.[10]

Saladin, ordering King Guy and Raynald of Chatillon brought into his own tent, offered the king ("near dead from thirst," Ibn al-Athir says) a cold drink. Having drunk, Guy turned to Reynald and offered him the rest. The code of Muslim hospitality dictated that no host could kill a man who had drunk his water or eaten his food; Saladin at once said, "Not with my permission did this accursed man drink water and so gain my safe-conduct." He rose, and beheaded Raynald with his own scimitar.[11]

After this, Saladin ordered the captured Templars and Hospitallers executed; their single-minded defense of the holy sites was too dangerous. But King Guy and the other officers who had surrendered were well fed and made comfortable in their imprisonment.

Saladin and his army marched on to Acre, arriving at the city's walls a week later. Acre had almost no defenders left; they had all gone out to join the coalition at Sephoria. The city's inhabitants, who had heard of Saladin's mercy towards his captives, offered to surrender in return for safe-conduct. Saladin agreed; he then entered the city through the open gate and celebrated Friday prayers in the old Acre mosque, which had been transformed into a church and now was restored to its original purpose.

After this, most of the Holy Land was his. Ascalon surrendered, on the same terms, on September 4; the city of Jerusalem, on October 2, after Saladin had again guaranteed the safety of its Christian inhabitants, even allowing those who left the city to take their money and belongings with them. "On top of the Dome of the Rock was a great gilded cross," writes Ibn al-Althir. "When the Muslims entered the city on the Friday, several men climbed to the top of the dome to displace the cross. When they did so and it fell, everyone in the city and outside, both Muslims and Franks, cried out as one. The Muslims shouted 'God is great!' in joy while the Franks cried out in distress and pain."[12]